



ular among Gen Z and millennials, with 46-48% investors aged under 43 favouring them, compared to 35% among Gen X and boomers.

Pratik Oswal, Chief of Business (Passive Funds) at Motilal Oswal Asset Management, says some of the popular strategies in passive funds include picking sectoral funds and factor-based funds.

Sectoral funds allow investors to capitalise on growth opportunities in these areas. Factor-based funds, on the other hand, focus on specific market attributes such as value, momentum, quality and volatility. These funds use predefined rules to select stocks based on these characteristics, aiming to enhance portfolio performance by aligning with investor preferences and risk tolerance. The survey showed

that 67% respondents invested in sector funds while millennials and Gen X showed a stronger preference for factor funds.

SMART BETA STRATEGIES

Chintan Haria, Principal Investment Strategist at ICI-CI Prudential Asset Management, says while most investor interest is directed towards benchmark-based offerings, there is increased traction in several smart beta strategies such as low volatility, alpha low volatility and momentum. This has been largely due to improving investor awareness and increasing comfort around passive strategies. Smart beta strategies combine elements of passive and active investing to outperform traditional market-cap weighted indices by focusing on specific factors or characteristics of companies.

Satish Dondapati, Fund Manager at Kotak Mahindra Asset Management, says single or multi-factor based passive funds are also attracting investors. Factor-based funds offer several benefits, including risk management: factors like low volatility, quality and value can reduce the overall risk in the portfolio. While these funds provide diversification and customisation by targeting specific factors, investors are able to choose the funds depending on their risk appetite and time horizon.

PASSIVE OR ACTIVE?

Passive investing can be considered any time, but investors must remember that market risk does not diminish simply because they have invested in a passive fund. For example, a small-cap index fund still has the inherent volatility of small-cap stocks, says Gupta. "There is no one-size-fits-all approach. Investors should assess their needs before choosing between active and passive funds. Passive funds offer simplicity, cost efficiency, and convenience, while active funds provide the opportunity for outperformance. A well-balanced portfolio can include both, depending on investment goals," she says.

Oswal believes investing is a habit that should be consistent. When considering passives in volatile markets, it's essential to have a long-term horizon. Passive strategies offer a range of diversified products that cater to different market cycles, providing stability and resilience. This helps investors navigate volatility effectively by spreading risk across asset classes. Whether markets are volatile or stable, passive investments can be reliable for those committed to long-term growth and stability.

Additionally, incorporating a systematic investment plan (SIP) in passive investing helps navigate volatility by averaging cost through regular investments, regard-

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HEMEN BHATIA
EXECUTIVE
DIRECTOR & CEO,
ANGEL ONE ASSET
MANAGEMENT

"Individual alphas are turning inconsistent and, hence, investors are increasingly focusing on a market rate of return that can be easily captured"



RADHIKA GUPTA
MD & CEO,
EDELWEISS ASSET
MANAGEMENT

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